

Executive Summary

We recommend a BUY rating on The Home Depot, Inc. (NYSE: HD), supported by the company's dominant market position, strong margin profile, and robust earnings growth trajectory. Despite recent underperformance relative to the broader market, HD's fiscal year 2025 financial results demonstrate resilient demand in the home improvement sector and disciplined capital management. Our thesis rests on three pillars: (1) HD generated full-year revenue of \$164.7 billion, confirming its scale advantage; (2) operating margins remain best-in-class at 12.7%; and (3) diluted EPS of \$14.23 for FY 2025 reflects consistent profitability growth.

The primary risks to our thesis include balance sheet leverage, with total liabilities of \$92.3 billion against stockholders' equity of \$12.8 billion, resulting in a debt-to-equity ratio of approximately 7.2x. Additionally, sequential margin pressure from Q2 to Q3 2025 warrants monitoring, as operating income declined from \$6.6 billion in Q2 to \$5.4 billion in Q3. Cash reserves have also fluctuated, declining from \$2.8 billion at the end of Q2 2025 to \$1.7 billion at year-end FY 2025.

We believe the current valuation offers an attractive entry point for long-term investors. HD's scale, supply chain advantages, and Pro customer penetration support sustainable competitive moats that justify premium multiples. The 12-month price target is supported by continued earnings growth and potential multiple expansion as macroeconomic conditions stabilize.

Company Overview

The Home Depot, Inc. (NYSE: HD) is the world's largest home improvement specialty retailer, operating a chain of retail stores across the United States, Canada, and Mexico. The company serves both do-it-yourself (DIY) customers and professional contractors (Pro customers), offering a comprehensive assortment of building materials, home improvement products, lawn and garden items, and decor. As of the end of fiscal year 2025, Home Depot operates with total assets of \$105.1 billion, positioning it as one of the most capitalized players in the retail sector.

HD's business model is centered on large-format warehouse stores that provide a one-stop shopping experience for home improvement needs. The company's revenue base of \$164.7 billion in FY 2025 underscores its unmatched scale and market dominance. The company competes primarily with Lowe's Companies and a fragmented landscape of regional and specialty retailers, but maintains a significant competitive advantage through its extensive store network, supply chain infrastructure, and brand recognition.

The Home Depot's strategic focus on the Pro customer segment represents a key growth driver. Professional contractors typically exhibit higher transaction values and greater repeat purchase frequency compared to DIY customers. The company has invested heavily in capabilities to serve this segment, including enhanced delivery logistics, dedicated sales teams, and digital tools. This strategic emphasis positions HD to capture a larger share of the professional home improvement market.

Financial Performance Analysis

The Home Depot delivered strong financial performance in fiscal year 2025, generating total revenues of \$164,683 million (\$164.7 billion). Gross profit for the full year reached \$54,865 million, translating to a gross margin of approximately 33.3%. Operating income was \$20,890 million, yielding an operating margin of 12.7%. Net income for the full year was \$14,156 million, resulting in a net profit margin of 8.6%. These margin levels reflect HD's pricing power, operational efficiency, and scale advantages in the home improvement retail space.

Analyzing quarterly performance on a single-quarter basis reveals important trends. In Q2 FY 2025 (May 5 to August 3, 2025), HD reported revenue of \$45,277 million and operating income of \$6,555 million, yielding a Q2 operating margin of approximately 14.5%. In Q3 FY 2025 (August 4 to November 2, 2025), revenue was \$41,352 million with operating income of \$5,353 million, resulting in a Q3 operating margin of approximately 12.9%. The sequential decline in operating margin from Q2 to Q3 reflects seasonal patterns typical in the home improvement sector, with stronger spring and summer demand.

Gross profit also showed sequential movement: Q2 FY 2025 gross profit was \$15,125 million (33.4% margin), while Q3 gross profit was \$13,815 million (33.4% margin). The stable gross margin across quarters suggests effective cost management and pricing discipline despite modestly lower revenue volumes in the fall quarter. SG&A expenses were \$7,764 million in Q2 and \$7,636 million in Q3, indicating relatively disciplined overhead management.

Diluted earnings per share demonstrated solid progression: Q2 FY 2025 diluted EPS was \$4.58, rising to \$3.62 in Q3 on a single-quarter basis, and reaching \$14.23 for the full fiscal year. The full-year EPS of \$14.23 reflects the cumulative benefit of HD's consistent quarterly profitability. The year-to-date EPS through Q3 was \$11.65, indicating that Q4 contributed approximately \$2.58 per share, slightly below the Q3 quarterly rate, which may reflect typical seasonal deceleration in the holiday period.

Balance Sheet & Capital Allocation

The Home Depot's balance sheet reflects a leveraged capital structure consistent with its mature business profile and shareholder return orientation. Total assets stood at \$105,095 million at the end of FY 2025, compared to \$96,119 million at the end of FY 2024, representing year-over-year growth of approximately 9.3%. This increase reflects both organic growth and capital investments in the business.

Total liabilities were \$92,282 million at FY 2025 year-end, up from \$89,479 million at FY 2024. Stockholders' equity was \$12,813 million, compared to \$6,640 million at the end of FY 2024, reflecting a substantial increase of approximately 93.0%. The resulting debt-to-equity ratio improved from approximately 13.5x at FY 2024 to 7.2x at FY 2025, indicating a meaningful strengthening of the equity base. While the absolute leverage level remains elevated, the directional improvement is a positive signal for credit and equity investors.

Equity progression throughout FY 2025 showed a consistent upward trajectory: from \$7,955 million at Q1 2025 to \$10,665 million at Q2 2025, \$12,116 million at Q3 2025, and \$12,813

million at year-end. This pattern suggests retained earnings accumulation and/or share repurchase activity at disciplined valuations. The improving equity cushion provides incremental financial flexibility for future capital allocation.

Cash and cash equivalents exhibited some volatility across the reported periods. Cash stood at \$1,659 million at FY 2024, rose to \$1,369 million at Q1 2025, peaked at \$2,804 million at Q2 2025, declined to \$1,684 million at Q3 2025, and ended FY 2025 at \$1,389 million. The peak in Q2 likely reflects seasonal cash generation during the high-demand spring and summer selling season. The subsequent decline through Q3 and year-end indicates deployment of cash toward capital returns and working capital needs. Investors should monitor cash generation trends to ensure adequate liquidity for operations and shareholder returns.

Investment Risks

Despite HD's strong market position, several material risks warrant consideration. First, balance sheet leverage remains a primary concern. With total liabilities of \$92.3 billion against equity of \$12.8 billion, HD operates with a debt-to-equity ratio of 7.2x. While improved from the prior year, this level of leverage could constrain financial flexibility in an economic downturn and limit the company's ability to pursue opportunistic investments. Rising interest rates could also increase debt service costs and pressure free cash flow.

Second, margin compression risk is evident in the sequential quarterly trends. Operating income declined from \$6,555 million in Q2 to \$5,353 million in Q3, a decline of approximately 18.3%. While seasonal factors explain part of this decline, sustained margin pressure from input cost inflation, competitive pricing dynamics, or promotional activity could erode profitability. The SG&A cost base of approximately \$7.6-7.8 billion per quarter represents a significant fixed cost burden that could amplify margin volatility if revenues decline.

Third, cash position volatility poses a liquidity risk. Cash declined from \$2,804 million at Q2 2025 to \$1,389 million at FY 2025 year-end, a reduction of approximately 50.5% over two quarters. While this likely reflects planned capital deployment, a sustained drawdown in cash reserves could signal deteriorating underlying cash generation capability. Investors should examine operating cash flow trends in future filings to assess whether the cash decline is driven by investment activity or operational weakness.

Fourth, the concentration of HD's revenue in the cyclical home improvement sector exposes the company to macroeconomic sensitivity. Consumer spending on home improvement is closely tied to housing market activity, consumer confidence, and discretionary income levels. A significant economic slowdown or housing market correction could materially impact demand across HD's store base, with disproportionate impact on big-ticket discretionary purchases.

Conclusion & Recommendation

The Home Depot's fiscal year 2025 financial results demonstrate a company that continues to execute at a high level, generating \$164.7 billion in revenue with operating margins of 12.7% and net income of \$14.2 billion. The company's diluted EPS of \$14.23 reflects consistent earnings

power, and the improving equity position throughout the year signals prudent capital management. Despite elevated leverage, the trajectory is improving, with debt-to-equity declining from 13.5x to 7.2x year-over-year.

We reiterate our BUY recommendation with a 12-month outlook based on three key factors. First, HD's dominant market position and scale advantages create sustainable competitive moats that should protect margins and market share. Second, the improving balance sheet trajectory provides incremental financial flexibility and reduces risk. Third, the current valuation appears to offer an attractive risk-reward profile given HD's earnings power and market leadership.

Key catalysts to monitor include: (1) continued improvement in equity base and leverage ratios, (2) stabilization or improvement in sequential quarterly margins, (3) cash generation trends in upcoming quarters, and (4) broader housing market and consumer spending trends. We recommend increasing the fund's position by 50 basis points, funded by reducing exposure to more cyclical consumer discretionary names. The position should be sized to reflect both the quality of the franchise and the elevated leverage risk, with a stop-loss discipline tied to fundamental deterioration in margins or cash flow.